

Logistics & Warehousing Glossary

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This glossary defines domain terms used across warehouse SOPs, shipping policy, and operational systems. Intended as a grounding reference for support and assistant tooling.

ABC Analysis — Inventory classification method ranking SKUs by velocity/value: Category A (fast-moving, high priority), B (medium), C (slow-moving, low priority).

ASN (Advance Shipping Notice) — Electronic notification sent by a supplier before goods arrive, detailing expected contents, quantities, and arrival time.

Bill of Lading (BOL) — Legal document issued by a carrier to a shipper, detailing the type, quantity, and destination of goods being carried; required for freight claims.

Cold Chain — Temperature-controlled supply chain used for perishable or sensitive goods, maintained within a specified range (e.g., 2°C–8°C) from origin to delivery.

Cross-Docking — Practice of unloading goods from an inbound truck and loading them directly onto outbound trucks with little or no storage in between.

Cycle Count — Ongoing inventory audit method that counts a subset of SKUs on a rotating schedule, rather than a full physical count.

Demurrage — Fee charged when cargo is not moved out of a port or container within the agreed free time.

Dimensional Weight (DIM Weight) — Pricing technique used by carriers that considers package volume, not just actual weight, when calculating shipping charges.

Dock Scheduling — Process of assigning inbound/outbound trucks to specific loading dock time slots to reduce congestion.

Dwell Time — Amount of time a shipment, container, or vehicle spends idle at a facility (e.g., time a truck waits at a dock before unloading).

EDI (Electronic Data Interchange) — Standardized electronic format for exchanging business documents (POs, invoices, ASNs) between trading partners.

FIFO / LIFO — Inventory rotation methods: First-In-First-Out (oldest stock shipped first, common for perishables) vs. Last-In-First-Out.

Fill Rate — Percentage of customer demand met through immediate stock availability, without backorders or stockouts.

Freight Class — Classification system (NMFC) used to determine shipping costs for LTL freight, based on density, handling, and liability.

Incoterms — International Chamber of Commerce standardized trade terms (e.g., FOB, CIF, DDP) defining responsibilities of buyers and sellers in international shipping.

Lead Time — Time elapsed between placing an order and receiving the goods.

LTL (Less-Than-Truckload) — Freight shipment that doesn't require a full trailer, shared with other shippers' goods.

Order Fulfillment Rate — Percentage of orders shipped complete and on time, without errors.

Pick Face — The location in a warehouse where a specific SKU is stored for order picking, typically the most accessible position.

Putaway — Process of moving received goods from the receiving dock to their designated storage location.

Reorder Point (ROP) — Inventory level at which a new purchase order should be triggered to avoid a stockout, based on lead time and demand rate.

RMA (Return Merchandise Authorization) — Number issued to a customer authorizing the return of goods, used to track and process the return.

Safety Stock — Extra inventory held as a buffer against demand variability or supply delays, beyond calculated normal need.

SKU (Stock Keeping Unit) — Unique identifier code for a distinct product/item, used to track inventory.

Slotting — Process of assigning SKUs to specific warehouse locations to optimize picking efficiency, usually based on velocity.

Third-Party Logistics (3PL) — Outsourced provider that manages warehousing, fulfillment, and/or transportation on behalf of a business.

Yard Management — Coordination of trailers and trucks within a facility's yard, including dock assignment and trailer staging.